EXECUTIVE SUMMARY

1. Introduction:

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile who was the prime mover for the construction of roads in Northern Luzon. However, there was no enabling law or records available showing the creation of the municipality. This 3rd class municipality produces rice, corn, tobacco, peanuts and sugar cane.

Financial, compliance and value for money audit were conducted on the accounts and operations of the LGU-Enrile, Cagayan for the calendar year 2014. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

2. Financial Highlights:

The financial condition and results of operations of LGU-Enrile, Cagayan for CY 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase/ Decrease
Financial Condition			
Assets	P 97,018,101.07	P 82,918,292.11	P 14,099,808.96
Liabilities	25,491,583.16	32,451,132.96	(6,959,549.80)
Government Equity	71,526,517.91	50,467,159.15	21,059,358.76
Results of Operation			
Income	P 93,394,128.47	P 84,317,830.32	P 9,076,298.15
Expense	66,486,562.91	80,436,869.34	(13,950,306.43)
Appropriations, Allotments and Obligations			
Appropriation	P 113,459,663.00	P 91,598,505.44	P 21,861,157.56
Obligations	88,577,434.53	76,657,834.20	11,919,600.33

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2014 with comparative figures for CY 2013 are presented in the following table:

	2014	2013	Increase/ Decrease
Funds Received from Other Agencies:			
NGAs	P5,945,960.00	P8,936,371.86	(P2,990,411.86)
LGUs	72,000.00	22,000.00	50,000.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**P6,017,960.00**	**P8,958,371.86**	**(P2,940,411.86)**

	2014	2013	Increase/ Decrease
Funds Transferred to Other Agencies:			
NGAs	0.00	0.00	0.00
LGUs	0.00	0.00	0.00
NGOs/POs	0.00	P5,000,000.00	(P5,000,000.00)
Others	0.00	0.00	0.00
Total	**0.00**	P5,000,000.00	(P5,000,000.00)

3. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the LGU-Enrile, Cagayan as of December 31, 2014 due to the following:

(a) inability of management to conduct physical inventory of its properties, excluding Construction in Progress accounts, with a net book value of P64,664,814.31 rendering the Property, Plant and Equipment (PPE) account doubtful;

(b) non-provision of current year depreciation for PPE accounts with a total cost of P62,232,049.47 and non-recognition of depreciation expense for most PPE accounts in the previous years resulted in the misstatement of the assets, expenses and government equity accounts;

(c) recording of agency assets of P32,032,527.43 as public infrastructure and the failure to close, at year-end, the public infrastructure of P989,584.78 to the government equity account rendered the balance of the related asset and government equity accounts unreliable;

(d) non-preparation of monthly Bank Reconciliation Statements for the bank accounts maintained by the LGU for the General Fund, MWSE, and Special Education Fund rendered the balance of the Cash in Bank account of P9,048,040.70 as of December 31, 2014 not reliable;

(e) failure to reclassify the Firefighting Equipment and Accessories account with a year-end balance of P5,515,100.00 to "Disaster Risk Response and Rescue Equipment" rendered the balance of said accounts doubtful;

(f) failure to reclassify the current portion of the long term loans totaling P2,658,097.35 to the Other Payables account casting doubt as to the reliability of the balance of the Loans Payable-Domestic and Other payables account;

(g) failure to transfer, at year-end, to the Trust Liability-DRRM account under the TF books the unexpended QRF of P1,330,913.20 and the MOOE portion of the LDRRMF;

(h) failure to request from the COA for authority to write-off the Other Receivables in the amount of P692,774.40 which remained outstanding/dormant for eight to thirty five years, thereby affecting the fairness of the presentation of the affected accounts in the financial statements.

4. Summary of Significant Observations and Recommendations:

a. The supplier in the supply and delivery of hogs, poultry and vegetable seeds for the Livelihood Projects of the LGU should have been disqualified in the bidding because it failed to comply with some of the eligibility requirements.

We recommend that management strictly comply with the provisions of the Revised IRR of RA No. 9184 in the LGU's procurement activities.

Moreover, the BAC should give their justifications/explanations for declaring the supplier with the lowest calculated responsive bid and recommending the award of the project in their favor even if the eligibility and other requirements were not complied with. The transaction shall be disallowed if the team finds the justifications not meritorious.

b. The contractor in the Installation/Construction of One Unit Deepwell project in Roma Norte should have been disqualified in the bidding because the contractor submitted an expired PCAB license and a negative NFCC computation.

We recommend that management strictly comply with the provisions of the Revised IRR of RA No. 9184 in the LGU's procurement activities.

Moreover, the BAC should give their justifications/explanations for declaring the contractor with the lowest calculated responsive bid and recommending the award of the project even if the eligibility requirements were not complied with. The transaction shall be disallowed if the team finds the justifications not meritorious.

c. The contractor in the installation of structured cabling of the Multi-purpose Center should have been disqualified in the bidding because the contractor failed to submit the audited financial statements and to compute the NFCC.

We recommend that management strictly comply with the provisions of the Revised IRR of RA No. 9184 in the municipality's procurement activities.

Moreover, the BAC should give their justifications/explanations for declaring the contractor with the lowest calculated responsive bid and recommending the award of the project even if the eligibility requirements were not complied with. The transaction shall be disallowed if the team finds the justifications not meritorious.

d. There was irregularity in the disbursement of funds amounting to P452,000.00 because financial assistance granted to the different schools in connection with the Patronal Town Fiesta of the municipality and the prizes for the different competed categories were charged against the Special Education Fund.

We recommend that management, together with the members of the Local School Board, limit the utilization of the SEF to the programs and projects defined under Section 272 of RA 7160 and DECS, DBM and DILG Joint Circular No. 01.

e. There was irregularity in the disbursement of funds amounting to P185,300.00 because year-end bonus and cash gift were granted to job orders and consultants.

We recommend that management stop the grant of year-end bonus and cash gift to job orders and consultants pursuant to the Section 4 of Budget Circular No. 2010-1. Moreover, management shall require the concerned individuals to refund the year-end bonus and cash gift erroneously granted to them. Otherwise, the persons responsible for its payment shall be made liable.

f. The regularity of transactions relating to the infrastructure projects of the LGU totaling P14,499,719.76 cannot be ascertained because the supporting documents of the disbursement vouchers are not complete.

We recommend that the OIC-Municipal Accountant ensure that the supporting documents of the disbursement vouchers are complete to prove the validity and legality of the claims and to avoid the suspension/disallowance of the transactions. Moreover, management should review/check the deficiencies/inconsistencies noted in the documents.

g. The validity and legality of transactions totaling P28,307,000.38 cannot be ascertained because the claims against the LGU were not supported with complete documentation.

We recommend that the OIC-Municipal Accountant ensure that the supporting documents of the disbursement vouchers are complete to prove the validity and legality of the claims pursuant to existing law, rules and regulations and to avoid the suspension/disallowance of the transactions.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P5,000,000.00	0.00	0.00	P5,000,000.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**P5,000,000.00**	**0.00**	**0.00**	**P5,000,000.00**	**0.00**
Disallowances:					
Prior Years	P59,444.60	0.00	0.00	P59,444.60	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	P59,444.60	**0.00**	**0.00**	P59,444.60	**0.00**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**00.0**	**00.0**	**00.0**	**00.0**	**00.0**

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the 15 prior years' audit recommendations embodied in the 2013 Annual Audit Report, two were fully implemented, three were partially implemented, and ten were not implemented.